

MARCHWOOD ASSET MANAGEMENT LLC

1717 Walnut Street, Suite 2200 · Philadelphia, PA 19103

May 19, 2011

Mr. Desmond Whitlatch
Senior Examiner
United States Securities and Exchange Commission
Philadelphia Regional Office
701 Market Street, Suite 2000
Philadelphia, PA 19106

Re: Examination No. 2011-0447 — interim response to Items 1, 2, 3, 5 and 6

Dear Mr. Whitlatch:

This is Marchwood Asset Management LLC's interim response to the staff's deficiency letter of April 20, 2011, covering Items 1, 2, 3, 5 and 6. Marchwood's response to Item 4 will follow within the extended period the staff granted on April 28, 2011.

Item 1 — Annual review (Rule 206(4)-7)

The compliance policies and procedures manual has been rewritten in full and was adopted by the managing member on May 12, 2011. The new manual contains a testing matrix identifying, for each policy, the test to be performed, the frequency, the person responsible and the evidence to be retained. The 2011 annual review will be conducted against that matrix and documented in a report. The 2009 review cannot be reconstructed and Marchwood does not propose to reconstruct it.

Item 2 — Code of ethics reporting (Rule 204A-1)

The quarterly transaction reports for the six missing quarters have been obtained from all four access persons and reconciled to their brokerage statements. No transaction was identified that would have required pre-clearance or that conflicted with client activity. The reporting log has been reconstructed for 2009 and 2010 and is now maintained in the compliance system with an automatic delinquency notice at fifteen days.

Item 3 — Advertising: composite presentation (Rule 206(4)-1)

The document has been withdrawn from circulation and recalled from the four prospects that received it. The replacement presents all composite performance net of fees, with the gross figures removed entirely rather than disclosed. Marketing materials are now reviewed and initialled by the chief compliance officer before release, and the reviewed copy is retained.

Item 5 — Advertising: partial client list (Rule 206(4)-1)

The pitch book has been withdrawn. The replacement contains no client list.

Item 6 — Books and records (Rule 204-2)

The prior vendor's data for January 2009 through March 2010 is not recoverable; the vendor confirmed in writing on May 6, 2011 that it was destroyed on contract termination. Marchwood

has retained a new archiving provider under a contract that requires seven-year retention, quarterly restoration testing and delivery of the full archive in native format on termination. The first restoration test was completed May 16, 2011.

Item 4

Marchwood is not yet in a position to respond and appreciates the staff's extension to June 3.

Marchwood's position, which counsel will set out more fully, is that a fee debit executed by an unaffiliated qualified custodian at the Adviser's instruction is not custody by the Adviser, because the Adviser does not hold the assets, cannot direct them to any destination other than its own fee account, and cannot take an amount other than the fee fixed by the advisory agreement.

Marchwood would prefer to resolve Item 4 in a conversation rather than in an exchange of letters and has proposed the week of May 30.

Respectfully,

Marguerite Vasseur-Kyle

Chief Compliance Officer

Marchwood Asset Management LLC

cc: W. Tirado, Tirado Hobbs LLP; R. Achterberg, U.S. Securities and Exchange Commission